Docket No. 16-0136

IN THE SUPREME COURT OF APPEALS
OF WEST VIRGINIA

PATRICK D. LEGGETT, et al.,

Plaintiffs/Petitioners,

v.

EQT PRODUCTION COMPANY, et al.,

Defendants/Respondents.

Upon Certified Questions from the United States District Court for the Northern District of West Virginia, Case No. 1:13-cv-00004-FPS

RESPONDENT'S PETITION FOR REHEARING

David K. Hendrickson (WV Bar No. 1678)
Counsel of Record
Carl L. Fletcher, Jr. (WV Bar No. 1225)
HENDRICKSON & LONG PLLC
P.O. Box 11070
Charleston, West Virginia 25339
Telephone: 304/346-5500
Facsimile: 304/346-5515
daveh@handl.com
cfletcher@handl.com
Counsel for Defendant/Respondent EQT Production Company

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W. Va. R. App. P. 25

Pursuant to W. Va. R. App. P. 25, respondent, EQT Production Company ("EQT"), respectfully submits this Petition for Rehearing in response to the Opinion of the Court delivered by Justice Benjamin on November 17, 2016 ("Opinion"), from which Justice Loughry and Chief Justice Ketchum dissented.

I. INTRODUCTION

Under Rule 25, petitions for rehearing are reserved for exceptional cases. This is an exceptional case. As explained in this Petition, the majority misapprehended several critical points of law and fact:

- There is no basis for a court to extend a statute under the guise of interpreting it. Contrary to the Opinion, "at the wellhead" as used in § 22-6-8 is not ambiguous. "At the wellhead" means at the wellhead, not some distant location miles downstream. The Court should have simply applied the plain language of the statute, not extended it to include benefits that the Legislature did not provide.
- This Court's decision in Tawney v. Columbia Natural Res., L.L.C., 219 W. Va. 266, 633 S.E.2d 22 (2006), does not govern the interpretation of the flat-rate lease statute. Tawney involved percentage leases with an implied duty to market. The case did not involve flat-rate leases with no implied duty to market. Decided in 2006, Tawney could not have possibly informed the Legislature when it enacted the flat-rate lease statute some 24 years earlier.
- By making statutory payments on proceeds "at the wellhead" as the statute requires, operators are not depriving landowners of "adequate compensation," as the majority concluded. Opinion at 12. When the statute was enacted, most gas was sold at the wellhead, and that is where royalties were generally paid. Landowners were not paid on an enhanced downstream price. The Legislature set one-eighth of the proceeds at the wellhead as the required statutory payment. The Legislature determined that amount was "adequate," and it was not the Court's function to increase it.
- In its Opinion, the majority strayed far beyond the certified question and decided several issues that were not submitted to it for decision and that were not adequately briefed or argued. For example, the Court held that while the operator must pay on the price at the downstream marketplace, it must pay on the upstream volume at the wellhead. Because most leases only

require the operator to pay on the proceeds of gas that is sold (and not on gas that is lost or used as fuel for compression), the majority's ruling confers a special benefit on flat-rate landowners that most other landowners do not have and that is inconsistent with caselaw.

II. ARGUMENT

A. THE STATUTE MUST BE INTERPRETED AS WRITTEN

"This Court does not sit as a superlegislature …." Boyd v. Merritt, 177 W. Va. 472, 474, 354 S.E.2d 106, 108 (1986). The Court's duty is "to interpret the statute, not to expand or enlarge upon it." State ex rel. Riffle v. Ranson, 195 W. Va. 121, 126, 464 S.E.2d 763, 768 (1995). The Court may not rewrite a statute "under the guise of interpretation." State v. Gen. Daniel Morgan Post No. 548, 144 W. Va. 137, 145, 107 S.E.2d 353, 358 (1959).

"It is basic in our law and universally accepted that where the language of a statute is free from ambiguity, its plain meaning is to be accepted and applied without resort to interpretation." Crockett v. Andrews, 153 W. Va. 714, 718, 172 S.E.2d 384, 386 (1970). "[T]his Court is obligated to enforce the statute in accordance with its plain meaning." State ex rel. Biafore v. Tomblin, 236 W. Va. 528, 534, 782 S.E.2d 223, 229 (2016). Rules of liberal or strict construction do not apply "where the language under consideration carries a plain meaning." Raynes v. Nitro Pencil Co., 132 W. Va. 417, 419, 52 S.E.2d 248, 249 (1949). "[J]udicial interpretation of a statute is warranted only where the statute is ambiguous." Biafore, 236 W. Va. at 533, 782 S.E.2d at 228 (emphasis in original).

B. THE STATUTE IS NOT AMBIGUOUS

Section 22-6-8(e) bases payments on the amount received by the operator "at the wellhead." In its Opinion, the majority did not explain why it thought this language is ambiguous. Instead, the Court simply said that the words "at the wellhead" are "as ambiguous in the flat-rate statute as they are in a lease." Opinion at 11.

As both the Dissenting Opinion and the authors of one of leading treatises on oil and gas law have pointed out, however, there is nothing ambiguous about the words "at the wellhead." Dissenting Opinion at 5; 3 Patrick H. Martin & Bruce M. Kramer, Williams & Meyers Oil & Gas Law § 645.2 at 614.12(14) (2016). "If anything, the term 'wellhead' is very precise and definite because it is a clearly recognizable place which even laypersons can understand." Id.

Indeed, during the drafting process, the Legislature inserted "at the wellhead" into the statute to make it clear where proceeds are to be determined. JA at 376, 382, 390. The Legislature would not have specifically added this language if it intended for proceeds to be determined at the interstate pipeline or some other location miles downstream. This language was erroneously disregarded and left unexplained by the majority, which instead simply assumed that the Legislature must have intended that no deductions would be taken because the policy portion of the statute was so "passionately" written. Opinion at 12. Passion cannot displace plain language, however, and the plain language of the statute clearly sets the point of valuation at the wellhead.

C. TAWNEY DOES NOT APPLY

In support of its conclusion that the statute is ambiguous, the Court cited Tawney, but Tawney involved leases that based royalties on a percentage of proceeds and that included an implied covenant to market. 219 W. Va. at 271, 633 S.E.2d at 27. Royalties under flat-rate leases are based on the number of wells drilled, and they do not have an implied duty to market. Bruen v. Columbia Gas Transmission Corp., 188 W. Va. 730, 732, 426 S.E.2d 522, 524 (1992). Thus, Tawney provides no support for the Court's conclusion that "at the wellhead" is ambiguous as used in the statute.

In its Opinion, the Court acknowledged that Tawney was based on an implied duty to market. The Court agreed that there is no implied duty to market in flat-rate leases. The Court also acknowledged that flat-rate leases "have remained strictly effective with respect to the wells permitted prior to the enactment of the flat-rate statute." Opinion at 13. The Court concluded, however, that the statute has "unquestionably altered the basis of the parties' bargain going forward." Id. According to the Court, an "implied covenant to market" now exists under flat-rate leases, and payments must be made on the "volume of gas produced." Id. In other words, the Court concluded that the Legislature rewrote flat-rate leases going forward.

This conclusion violates the stated purpose of the statute. The Legislature did not impose a duty to market under flat-rate leases. The statute itself states that its purpose is "to discourage as far as constitutionally possible the production and marketing of oil and gas" under flat-rate leases. § 22-6-8(a)(4). The Legislature's goal was "to prevent the extraction, production or

marketing" under flat-rate leases—with one exception. If the operator under a flat-rate lease agrees to pay the statutory amount to the gas owner, the operator may obtain a permit for a new well. Otherwise, there can be no new wells on flat-rate leases.

In enacting the statute, the Legislature did not impose any duty to market, and the majority had no basis for implying one. The Court's duty was to apply the statute as written, not to expand the statute to meet its own policy preferences.[1]

D. THE COURT MISAPPREHENDED THE PURPOSE OF THE STATUTE

In its Opinion, the Court said the statute was enacted "to right past wrongs." Opinion at 12. According to the Court, the "wrong" that the Legislature intended to address was future development under flat-rate leases. Id. But the Court did not stop there. The Court went on to attribute a broader purpose to the statute: to prevent "the exploitation of mineral resources without adequate compensation." Id. Given this broader purpose, the Court said the Legislature would not have provided "a mechanism of royalty valuation specifically designed to curtail that compensation." Id. at 13. Therefore, the Court said that payments under the statute may not be "diluted by costs and losses incurred downstream from the wellhead before a marketable product is rendered." Id. This conclusion fails with its premise.

First, had the Legislature intended for payments to be based on proceeds downstream of the wellhead, it would have simply said so. Instead, the Legislature tied payments to the "total amount paid to or received by or allowed to the owner of the working interest at the wellhead." § 22-6-8(e).

Second, the flat-rate lease statute was designed to address flat-rate leases. The Legislature was not addressing the adequacy or fairness of all oil and gas leases, only one particular type of lease. The Legislature defined that type of lease as one in which the royalty is "not inherently related to the volume of oil and gas produced or marketed." § 22-6-8(a)(1). The statute does not apply to all leases.

Suppose, for example, a lease provides for a one-sixteenth royalty instead of a one-eighth royalty or provides for a set amount per barrel of oil or thousand cubic feet of gas. These leases

[1] EQT reserves all constitutional arguments against the flat-rate lease statute as written, as applied, and as interpreted by the Court.

base royalties on the volume of oil or gas produced, so they are not flat-rate under the statute. § 22-6-8(a)(1). Depending on the rates specified in the leases, however, they could be just as "unfair" as flat-rate leases, yet the statute does not apply to such leases because they are not flat-rate.

The point is this: The Legislature did not attempt to address the adequacy of royalties under all leases. The Legislature instead enacted a statute dealing only with flat-rate leases and providing a specific formula for the payments that are required under such leases. In order to drill a new well, the operator must agree to pay one-eighth of the proceeds at the wellhead. The majority had no basis to imply a broader legislative purpose of preventing any perceived inadequacy in leases and thus no basis to declare that a payment "at the wellhead" does not meet the statute's purpose.

As the Dissenting Opinion explained, calling a statute "remedial" does not allow the Court to ignore the plain language of the statute. Dissenting Opinion at 10; see Raynes, 132 W. Va. at 419, 52 S.E.2d at 249. And it certainly does not permit the Court to attribute to the statute whatever reach it wishes. Henthorn v. Collins, 146 W. Va. 108, 111, 118 S.E.2d 358, 360 (1961).

E. PAYMENTS BASED ON PROCEEDS AT THE WELLHEAD ARE NOT INADEQUATE OR UNFAIR

The biggest misconception in the Opinion is the majority's conclusion that payments at the wellhead are somehow inadequate or unfair and that they are the result of "facile downward manipulation" by operators. Opinion at 15. The "facile downward manipulation" referred to by the Court is the widely recognized netback method of reaching a wellhead price based on a downstream sale, a method in use across the country and approved by dozens of courts, both state and federal. See Respondent's Brief at 8-9. While statutes must be interpreted according to their plain language, and not according to what the Court thinks is fair or unfair, the majority's conclusion that wellhead payments are inadequate is plainly wrong.

Before deregulation, landowners were traditionally paid a percentage of the sales price received by operators, but the sales generally took place at the wellhead. Appalachian Land Co. v. EQT Prod. Co., 468 S.W.3d 841, 853 n.5 (Ky. 2015); Kilmer v. Elexco Land Servs., Inc., 990 A.2d 1147, 1155 (Pa. 2010); Clough v. Williams Prod. RMT Co., 179 P.3d 32, 35-36 (Colo. App. 2007). Following deregulation, the sales point moved downstream, typically to the interstate

pipeline. Appalachian Land Co., 468 S.W.3d at 853 n.5; Kilmer, 990 A.2d at 1155; Clough, 179 P.3d at 35-36. As a result, operators received an enhanced price for the gas, but they also incurred significant additional expenses in the process. Clough, 179 P.3d at 36; Patricia Proctor, J. Kevin West & Gregory P. Neil, Moving Through the Rocky Legal Terrain to Find a "Safe" Royalty Clause or a "New" Market at the Well, 19 Tex. Wesleyan L. Rev. 145, 150-51 (2012). To reach a price at the wellhead, which is the location where most leases and the statute require payment, operators deducted post-production expenses from the downstream price. Baker v. Magnum Hunter Prod., Inc., 473 S.W.3d 588, 592-93 (Ky. 2015); Kilmer, 990 A.2d at 1149.

Both Tawney and the Opinion in this case failed to recognize that post-production deductions do not change the wellhead price that landowners have traditionally been paid; they simply attempt to duplicate it. Williams & Meyers Oil and Gas Law § 645.2 at 614.12(13) to (14); John W. Broomes, Waste Not, Want Not: The Marketable Product Rule Violates Public Policy Against Waste of Natural Resources, 63 U. Kan. L. Rev. 149, 173-74 (2014); David E. Pierce, Royalty Jurisprudence: A Tale of Two States, 49 Washburn L.J. 347, 367-68 (2010). And, EQT is not asking landowners to become its "business partner," as the majority erroneously declared. Opinion at 15. Landowners do not share in any business risks. Brian S. Wheeler, Deducting Post-Production Costs When Calculating Royalty: What Does the Lease Provide? 8 Appalachian J.L. 1, 4-5 (2008); Gary L. Field, Post-Production Costs: Who Bears the Burden? 78 Mich. B.J. 144, 145 (1999); Scott Lansdown, The Marketable Condition Rule, 44 S. Tex. L. Rev. 667, 670 (2003). Under the netback method, landowners simply receive the same royalty they would have received if the gas had been sold at the wellhead. If for some reason they do not, they have a claim for breach.

When the Legislature enacted § 22-6-8, proceeds were generally determined at the wellhead, and that is where the Legislature declared that proceeds should be determined under the statute. As a result, landowners like the Leggetts have received, and will continue to receive, millions of dollars more than they would under their flat-rate leases. Landowners under flat-rate leases are not being short-changed by being paid on proceeds "at the wellhead." Rather, they are enjoying a legislative windfall that their leases do not afford them. The Court should not multiply

that windfall by mandating the use of an enhanced downstream price that is beyond what the statute requires.

F. THE COURT HAS ERRONEOUSLY ANSWERED QUESTIONS THAT WERE NOT ASKED

The certified question was whether a case decided 24 years after the statute was enacted should determine the intent and scope of the statute. After answering this question in the affirmative, the Court proceeded to answer other questions that were not asked, including how volume should be calculated under the statute.

While this Court has the power to reformulate a question "to fully address the law which is involved in the question," Kincaid v. Mangum, 189 W. Va. 404, 413, 432 S.E.2d 74, 83 (1993), the Court should avoid answering questions that were not asked. Bower v. Westinghouse Elec. Corp., 206 W. Va. 133, 137, 522 S.E.2d 424, 428 (1999) (quoting Unif. Certified Questions of Law Act § 4 cmt., 12 U.L.A. 74 (1996)). In reformulating the question, the Court should strive to retain "'the specific terms and concepts of the question.'" Id.; see also Barefield v. DPIC Companies, Inc., 215 W. Va. 544, 572, 600 S.E.2d 256, 284 (2004) ("Although this Court has the authority to reformulate questions properly certified, we do not have the liberty to expound on any concern which we anticipate may arise in relation to the question.") (Albright, J., concurring).

In its Opinion, the Court stated that payments under the statute should not be "diluted by costs and losses incurred downstream from the wellhead" and that the operator may not deduct "any sums attributable to a loss or beneficial use of volume beyond that initially measured." Syl. Pts. 2 and 3. The volume issue was only discussed in passing by the parties; it was not fully briefed or argued.

The value of gas goes up as it moves downstream, but the volume of gas goes down. While operators try to maintain as much volume as possible, some gas is always lost during transportation, and some gas is used as fuel for compressors that move the gas.

In several cases, the question has arisen how volume should be calculated for the purpose of paying royalties. Should royalties be calculated on the volume of gas produced or on the volume of gas sold?

Many leases base royalties on the proceeds received by the operator, and many leases contain "free use" clauses allowing the operator to use gas free of charge. As a result, most cases allow the operator to pay royalties on the volume of gas sold, instead of the volume of gas produced. Hall v. CNX Gas Co., LLC, 137 A.3d 597, 604 (Pa. Super. Ct. 2016) (stating that "[g]as lost or used on the way to the point of sale is simply not part of the royalty computation"); Pollock v. Energy Corp. of America, Civ. A. 10-1553, 2011 WL 3667289, at *5 (W.D. Pa. June 27, 2011) (recommending dismissal of claim for royalties on volumes of gas unaccounted for before point of sale), report and recommendation adopted, 2011 WL 3667385 (W.D. Pa. Aug. 22, 2011); Dynegy Midstream Servs., Ltd. P'ship v. Apache Corp., 294 S.W.3d 164, 170 (Tex. 2009) (holding that claim for gas lost between wellhead and tailgate failed as a matter of law); Atlantic Richfield Co. v. Holbein, 672 S.W.2d 507, 515-16 (Tex. App. 1984) (holding that no royalty was required for unsold gas because industrywide practice was to deduct fuel gas before computing royalty), writ refused NRE (July 18, 1984); Anderson Living Trust v. Energen Res. Corp., 161 F. Supp. 3d 1055, 1062-63 (D.N.M. 2016) (holding that gas used in processing was not "sold" or "marketed" and, therefore, no royalties were owed); ConocoPhillips Co. v. Lyons, 299 P.3d 844, 856 (N.M. 2012) (holding that gas used for development and production was not sold or saved by lessee and, therefore, no royalties were owed); Amoco Prod. Co. v. Andrus, 527 F. Supp. 790 (E.D. La. 1981) (holding that, under federal law, royalty is owed for gas that is "removed or sold," which does not include lost or used gas); Marathon Oil Co. v. Andrus, 452 F. Supp. 548, 553 (D. Wyo. 1978) (same); but see Roberts Ranch Co. v. Exxon Corp., 43 F. Supp. 2d 1252, 1256-57 (W.D. Okla. 1997) (requiring payment of royalty for gas that was used to operate a treatment plant off the leased premises).

In his recommended lease forms, Judge Donley includes a free use clause. Robert T. Donley, The Law of Coal, Oil and Gas in West Virginia and Virginia, Oil and Gas Forms at 319, 323-24 (1951). Where there is a free use clause, it is generally held that the gas used for the lessee's operations is excluded in calculating royalty. 3A Nancy Saint-Paul, Summers Oil & Gas § 33:12 at 160 (2008).

While the opinion in Tawney refers to "volume deductions," the actual holding in the case does not state how volume should be determined. 219 W. Va. at 269, 633 S.E.2d at 25.

Syllabus Point 10 in Tawney only addresses the costs of marketing and transportation, as does the body of the opinion in Tawney. 219 W. Va. at 270-74, 633 S.E.2d at 26-30.

Judge Goodwin recently examined this volume issue at length in W. W. McDonald Land Co. v. EQT Prod. Co., 983 F. Supp. 2d 790 (S.D. W. Va. 2014). The Judge concluded that "requiring lessees to pay royalties on unsold gas is illogical and inequitable." Id. at 802. As the Judge explained, "[v]olume losses are not 'deductions' of costs in the same sense as marketing or transportation costs." Id. In claiming the value at the downstream market and the volume at the wellhead, "the plaintiffs want to have their cake and eat it too." Id. at 803. Judge Goodwin held that nothing in Tawney requires "such a perverse result." Id.

In its Opinion in this case, the Court decided the volume issue with no discussion or analysis. The Court simply declared that statutory payments may not be diluted by "costs and losses incurred downstream from the wellhead" and that the operator not deduct any sums "attributable to a loss or beneficial use of volume beyond that initially measured." Syl. Pts. 2 and 3. The Court did not say what it meant by the volume "initially measured." Nor did the Court explain why the operator should pay on more gas than it actually sells when the statute specifies "one eighth of the total amount paid to or received by or allowed to" the operator. § 22-6-8(e).

The flat-rate lease at issue in this case does not address line loss or the free use of gas. There was no reason for it to. The operator was required to pay royalties on the number of wells drilled, not the volume of gas sold. Most percentage leases, however, state that royalties are based on the gas sold and many allow free use of gas. As a result, these lessors are only paid on gas sold.

Ironically, in rewriting the statute in an attempt to ensure that landowners with flat-rate leases receive the same as landowners with percentage leases, the Opinion actually ensures that landowners with flat-rate leases receive more because operators under flat-rate leases must now pay not only on gas sold but on gas lost or used as fuel for compression.

If, notwithstanding the limited scope of the certified question, the Court intends to address how volume should be calculated under the statute, it should do so only after full briefing and argument.

G. SYLLABUS POINT 3 IS BEYOND THE CERTIFIED QUESTION AND THE LAW OF ANY STATE

As with the volume issue, Syllabus Point 3 is beyond the certified question. It is also beyond the law of any state.

In Syllabus Point 3, the Court held that the statute prohibits the operator from deducting any post-production costs. Even under Tawney, this Syllabus Point is mistaken because it contains no reference to the market or to a marketable product. Under Tawney and similar cases, deductions are permitted after the gas is marketable. Rogers v. Westerman Farm Co., 29 P.3d 887, 903, 906 (Colo. 2001) (en banc) (holding that, after a marketable product is obtained, the lessor can deduct reasonable transportation costs and costs that enhance the value of the gas and increase the royalty paid); Mittelstaedt v. Santa Fe Minerals, Inc., 954 P.2d 1203, 1208 (Okla. 1998) (holding that, after a marketable product is obtained, the lessor can deduct costs that enhance the value of the gas, are reasonable in amount, and increase the royalty paid); Sternberger v. Marathon Oil Co., 894 P.2d 788, 791 (Kan. 1995) (holding that, after a marketable product is obtained, the lessor can deduct reasonable costs to transport or enhance the value of the gas). Again, if the Court intends to decide this issue in this case, it should do so only after further briefing and argument.

III. CONCLUSION

The Court should grant EQT's Petition for Rehearing, and thereby withdraw the Opinion of November 17, 2016, set the case down for such further briefing and argument as the Court may desire, and issue a new opinion answering the first certified question in the negative.

Respectfully submitted,

EQT PRODUCTION COMPANY,
By Counsel.
David K. Hendrickson, Esquire (#1678)
Counsel of Record
Carl L. Fletcher, Jr. (#1225)
HENDRICKSON & LONG, PLLC
P.O. Box 11070
Charleston, West Virginia 25339
Telephone: 304/346-5500
Facsimile: 304/346-5515
daveh@handl.com
cfletcher@handl.com

CERTIFICATE OF SERVICE

I certify that I served the foregoing Respondents' Petition for Rehearing upon counsel of record by by mail and email on the December 19, 2016.

Marvin W. Masters, Esquire
The Masters Law Firm, LC
181 Summers Street
Charleston, WV 25301
mwm@themasterslawfirm.com

Michael W. Carey, Esquire
Carey, Scott, Douglas & Kessler, PLLC
707 Virginia Street East, Suite 901
Charleston, WV 25301
mwcarey@csdlawfirm.com

Howard M. Persinger, III, Esquire
Persinger & Persinger, L.C.
237 Capitol Street
Charleston, WV 25301
hmp3@persingerlaw.com

EQT PRODUCTION COMPANY,
By Counsel.
David K. Hendrickson, Esquire (#1678)
Counsel of Record
Carl L. Fletcher, Jr. (#1225)
HENDRICKSON & LONG, PLLC
P.O. Box 11070
Charleston, West Virginia 25339
Telephone: 304/346-5500
Facsimile: 304/346-5515
daveh@handl.com
cfletcher@handl.com